

TERM SHEET

Series A Preferred Stock Financing of NexusHealth AI, Inc.

Date: June 2025

Status: This Term Sheet is **Non-Binding Except Where Noted**

Summary of Terms

Term	Detail
Company	NexusHealth AI, Inc., a Delaware corporation
Investor	Apex Venture Partners
Type of Security	Series A Convertible Preferred Stock
Investment Amount	\$5,000,000
Pre-Money Valuation	\$20,000,000
Post-Money Valuation	\$25,000,000
Price Per Share	To be determined based on fully diluted capitalization at close
Equity Issued	20% of post-money fully diluted capitalization
Closing Date	On or before 45 days from execution of this Term Sheet
Governing Law	State of Delaware

Section 1 — Terms of the Preferred Stock

1.1 Dividends

Holders of Series A Preferred Stock shall be entitled to receive non-cumulative dividends at a rate of **8% per annum**, payable only when and if declared by the Board of Directors.

No dividends shall be paid to holders of Common Stock unless and until all accrued dividends on the Series A Preferred Stock have been paid in full.

1.2 Liquidation Preference

In the event of any liquidation, dissolution, winding-up, or deemed liquidation event, including a merger, acquisition, or sale of substantially all assets, holders of Series A Preferred Stock shall be entitled to receive, prior and in preference to any distribution to holders of Common Stock, an amount equal to **1x the original purchase price per share**, plus any declared but unpaid dividends.

The liquidation preference is **non-participating**. After receipt of the full liquidation preference, holders of Series A Preferred Stock shall have no further right or claim to the remaining assets of the Company.

At the holder's option, Series A Preferred Stock may convert to Common Stock to participate in any distribution that would yield a greater per-share return than the liquidation preference.

1.3 Conversion

Each share of Series A Preferred Stock shall be convertible at any time, at the option of the holder, into one share of Common Stock, subject to adjustment for stock splits, dividends, and recapitalizations.

All shares of Series A Preferred Stock shall automatically convert to Common Stock upon either of the following:

1. The closing of a qualified IPO at a pre-money valuation of no less than **\$100,000,000**; or
2. The written consent of holders of at least **60%** of the outstanding Series A Preferred Stock.

1.4 Anti-Dilution

Series A Preferred Stock shall be entitled to **broad-based weighted average anti-dilution protection** in the event the Company issues new shares at a price below the Series A purchase price, subject to customary exceptions, including shares issued pursuant to the employee option pool, strategic partnerships, and equipment financings approved by the Board.

1.5 Voting Rights

Holders of Series A Preferred Stock shall vote on an as-converted basis together with the holders of Common Stock on all matters submitted to a vote of stockholders.

Certain protective provisions shall require the separate approval of holders of at least **60%** of the outstanding Series A Preferred Stock, including:

1. Any amendment to the Certificate of Incorporation or Bylaws that adversely affects the Series A;
 2. Authorization or issuance of any equity security senior to or on parity with the Series A;
 3. Any merger, acquisition, or sale of substantially all assets;
 4. Any increase or decrease in the authorized number of shares; and
 5. Declaration of any dividend.
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Section 2 — Corporate Governance

2.1 Board of Directors

Upon closing, the Board of Directors shall consist of **three (3) members**, structured as follows:

Board Seat	Designation
Founder Director Seat 1	Designated by and reserved for the Company's founders
Founder Director Seat 2	Designated by and reserved for the Company's founders
Investor Director Seat	Designated by and reserved for Apex Venture Partners

The two founder-designated seats shall collectively be referred to as the “**Founder Directors.**”
The investor-designated seat shall be referred to as the “**Investor Director.**”

All parties agree to vote their shares to maintain this board composition for so long as Apex
Venture Partners holds at least **50%** of its original Series A shares.

2.2 Board Observer Rights

Apex Venture Partners shall have the right to appoint one **non-voting Board observer**, who
shall have the right to attend and participate in, but not vote at, all Board meetings and receive
all materials distributed to directors.

2.3 Board Meeting Cadence

The Board shall meet no less than **quarterly**, with monthly financial reporting provided to all
directors.

Section 3 — Investor Rights

3.1 Pro-Rata Rights

Apex Venture Partners shall have the right to participate in future equity financings on a pro-rata basis, based on its fully diluted ownership percentage, to maintain its ownership stake through and including the Company's Series B financing.

3.2 Information Rights

The Company shall deliver to Apex Venture Partners the following:

1. Unaudited monthly financial statements within **15 days** of month-end;
2. Unaudited quarterly financials within **30 days** of quarter-end;
3. Audited annual financials within **90 days** of fiscal year-end; and
4. An annual operating budget approved by the Board prior to the start of each fiscal year.

3.3 Right of First Refusal

The Company shall grant Apex Venture Partners a right of first refusal on any proposed transfer of shares by founders or other major stockholders, subject to customary exceptions.

3.4 Most Favored Nation

If the Company issues shares to any future investor on terms more favorable than those contained herein, Apex Venture Partners shall have the right to elect those more favorable terms with respect to its existing holdings.

Section 4 — Founder Terms

4.1 Vesting

All founder shares shall be subject to a **4-year vesting schedule** with a **1-year cliff**, with 25% vesting on the one-year anniversary of each founder's start date and the remainder vesting monthly thereafter.

Up to **25%** of each founder's shares may be accelerated upon a change of control event through single-trigger acceleration, with full acceleration available upon termination without cause following a change of control through double-trigger acceleration.

4.2 Founder Lock-Up

Founders shall be subject to a **180-day lock-up period** following any qualified IPO, during which they may not sell, transfer, or otherwise dispose of Company shares without the prior written consent of the lead underwriter.

Section 5 — Conditions to Closing

Closing of the financing shall be subject to the following conditions:

1. Completion of investor due diligence to Apex Venture Partners' reasonable satisfaction;
 2. Execution of definitive agreements, including a Stock Purchase Agreement, Investors' Rights Agreement, Right of First Refusal and Co-Sale Agreement, and Voting Agreement;
 3. No material adverse change in the Company's business, financial condition, or prospects; and
 4. Customary legal opinions from Company counsel.
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Section 6 — General Provisions

6.1 Exclusivity — Binding

For a period of **30 days** from the date of execution of this Term Sheet, the Company agrees not to solicit, initiate, or encourage any discussions with any other potential investor regarding a financing on substantially similar terms.

This **Section 6.1** is legally binding.

6.2 Expenses

The Company shall reimburse Apex Venture Partners for reasonable legal fees incurred in connection with this transaction, not to exceed **\$25,000**, payable at closing.

6.3 Confidentiality — Binding

The terms and existence of this Term Sheet shall be kept confidential by both parties and shall not be disclosed to any third party without the prior written consent of the other party, except as required by law.

This **Section 6.3** is legally binding.

6.4 Non-Binding Nature

Except for **Section 6.1 — Exclusivity**, **Section 6.2 — Expenses**, and **Section 6.3 — Confidentiality**, this Term Sheet is not a binding agreement and does not obligate either party to consummate the proposed transaction.

A binding obligation will arise only upon execution of definitive transaction documents.

Agreed and Acknowledged

NexusHealth AI, Inc.

Apex Venture Partners

By: _____

By: _____

Name:

Name:

Title: Founder & CEO

Title: Managing Partner

Date:

Date:
